

Week 2 Report

Portuguese PropTech Market 2026 – Report

Market Overview

- Portugal's real estate market is big (€300B+) and has become more professional and selective.
- Prices stabilized around €3,000/m² in 2025; Lisbon is expensive (€5,886/m²).
- Supply is limited, skilled labor is short, and regulations are changing via **Simplex Urbanístico reforms**.
- Foreign buyers and investors are very active, making accurate valuations and due diligence critical.

Main Challenges

Problem	What it causes
Lead acquisition	High cost per lead, low sales conversion
Fragmented processes	Lost deals, client frustration
Paperwork	Slow transactions, high admin work
Technology gaps	Tools not fully used, reactive instead of proactive
Communication	Clients unsure of progress, trust issues

- The market lacks a **unified MLS**, so data is fragmented and tools like Casafari or Alfredo AI are important.
- Agencies need to combine AI tools with **human expertise** to avoid mistakes.

Technology & Tools

1. Casafari

What it is:

A **large property database platform** used by real estate professionals across Europe.

It collects property listings from many websites and agencies and puts them in one clean system.

What it does:

- Tracks millions of property listings.
- Removes duplicate listings (same property posted many times).
- Shows price history (if the seller changed the price).
- Gives market statistics (price per m², time on market, inventory levels).
- Provides valuation tools (AI-based estimates).
- Offers an API for building predictive models.

Why it is important in Portugal:

Portugal **does not have one strong national MLS (Multiple Listing Service)** like the US or some other countries.

This means:

- Property listings are **spread across many different websites and agencies**.
- The same property is often **listed multiple times** with different prices.
- There is **no single official database** showing all properties for sale.
- Market data is **less transparent and harder to trust**.

Because of this, platforms like **Casafari** become very important — they collect and clean this scattered data to give professionals a more reliable overview of the market.

- Casafari acts as a **“source of truth” for professionals**.

Strengths:

- Very good for **comparable sales (comps)**.
- Good for tracking **market trends and liquidity**.
- Helps detect **off-market opportunities**.
- Useful for building **hyper-local AVM models**.

Limitations:

- Only as good as the data uploaded.
- Cannot see hidden structural problems.
- AI estimates still need **human validation**.

Who uses it:

- Agencies
 - Brokers
 - Investors
 - Banks
 - Data teams
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2. Alfredo AI

What it is:

A **Portugal-focused Automated Valuation Model (AVM)** platform.

AVM = software that estimates property prices automatically using data and algorithms.

What it does:

- Gives instant price estimates.
- Predicts price ranges.
- Shows average days on market.

- Analyzes district-level trends.
- Helps banks and agencies get quick pricing insights.

Why it is important:

- It is built specifically for the **Portuguese market**.
- Uses local district data (more adapted than global models).
- Useful for fast decision-making.

Strengths:

- Quick valuation (seconds).
- Good for early-stage pricing decisions.
- Helpful for market comparison between regions.
- Supports data-driven negotiation.

Limitations:

- It is a **statistical estimate**, not an official bank appraisal.
- Less accurate for:
 - Rural properties
 - Unique houses
 - Illegal or unlicensed constructions
- Needs a certified appraiser for mortgage cases.

Best use:

- First price check before making an offer.
- Market screening.
- Supporting negotiations.

3. OpenSpace

What it is:

A **construction monitoring platform** using AI and 360° cameras.

It creates a **digital twin** (virtual copy) of a construction site.

What it does:

- Takes 360° photos of construction sites.
- Automatically maps them to floor plans.
- Tracks project progress.
- Compares "as-built" vs. original design.
- Identifies mistakes early.
- Allows remote virtual site visits.

Why it is important in Portugal:

- Portugal has a **shortage of skilled construction workers**.
- Quality control is harder.
- Delays are common.
- Site visits cost time and money.

Strengths:

- Reduces construction errors.
- Reduces disputes between contractors.
- Cuts travel costs.
- Keeps record of hidden systems (pipes, cables behind walls).
- Improves post-purchase maintenance.

Limitations:

- Does not replace engineers.
- Needs proper implementation to work well.

- More useful for medium/large projects than small renovations.

Best use:

- New developments.
- Large renovations.
- Investor projects.
- Institutional real estate.

Tool	Main Use	Stage	Biggest Value
Casafari	Data & comps	Sourcing + Valuation	Market intelligence
Alfredo AI	Fast pricing	Early valuation	Quick price estimate
OpenSpace	Construction monitoring	Development phase	Reduce build errors

Other tools:

- AI for predictive sourcing (finding off-market deals).
- Digital site capture and reality scans for construction and renovation projects.
- Energy efficiency and ESG data integrated into valuations.

How Valuations Work

1. **Comparative Method** – Compare similar sales nearby.
2. **Income / Yield Method**

Used for **rental or investment properties**.

Value is based on **how much income the property generates**.

- Calculate **Net Income (rent – expenses)**
- Use **Cap Rate** ($\text{NOI} \div \text{cap rate} = \text{value}$) NOI (Net Operating Income)

👉 More stable and higher rent = higher property value.

- Or use **DCF** to project income over 5–10 years

DCF = Discounted Cash Flow

DCF is a method used to calculate the **future value of an investment today**.

It answers this question:

“If this property makes money in the future, what is that income worth today?”

How it works :

1. Estimate rental income for the next **5–10 years**.
2. Subtract expenses each year → get yearly cash flow.
3. Apply a **discount rate** (to adjust for risk and time).
4. Add the expected sale price at the end (exit value).

👉 Because money in the future is worth less than money today, we “discount” it.

1. **Cost/Replacement Method** – What it costs to rebuild the property.

Key Factors Affecting Value

- **Location** – Best areas = higher prices.
- **Energy Efficiency (EPC)** – Better rating = lower bills + higher demand.
- **Zoning (PDM)** – Determines what you can build or change.
- **Market Liquidity** – Faster sales = stronger market.
- **Construction Quality** – Better build = fewer future costs.
- AVMs are fast but need human checks; bank appraisals still required for financed deals.

Due Diligence (DD)

Due Diligence is the **checking process after your offer is accepted**, usually 30–60 days before the final deed.

Its goal is simple:

👉 Make sure the property is **legal, financially clean, and physically safe**.

Why it's more important now

After the **Simplex reforms**, some licenses are no longer checked automatically at the deed stage.

This means:

- The notary may not verify everything.
 - The **buyer, lawyer, and agent have more responsibility**.
 - Risk is higher if you skip proper checks.
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The 5 Main Checks

1. **Legal / Title** – Confirm ownership and check for debts or mortgages.
 2. **Tax / Financial** – Make sure there are no unpaid taxes or condo debts.
 3. **Planning / Permits** – Verify zoning and building approvals.
 4. **Physical Condition** – Inspect structure, systems, and EPC.
 5. **Operational (if apartment)** – Check condo finances and tenant contracts.
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About AI Tools

AI can help review documents faster,
but **it cannot replace on-site inspections or legal expertise**.

Simple idea:

Due Diligence protects you from hidden problems and expensive surprises.

Buyer Journey

1. **Discovery/Sourcing** – AI filters properties, FSBO (**FSBO (For Sale By Owner)** – Property sold **directly by the owner**, without a real estate agent.) alerts, virtual tours.
2. **Valuation/DD** – AVMs and digital twins; lawyers check titles and taxes.

3. **Transaction**– You officially agree to buy the property with a contract (CPCV) and finalize ownership at the notary.
4. **Post-Purchase**–After buying, register the property legally and use digital tools to manage maintenance and tenants.

Financing Options

Type	Who uses it	Advantage
Banks	Established developers	Lower interest, familiar terms
Debt Funds	Mid-market developers	Faster, flexible terms
Crowdfunding	Small developers	Community-backed, low entry
AIFs	Institutional investors	Large capital, diversified risk

- Labor shortages → modular construction & 3D printing are growing.

Regulations & AI Compliance

- **EU AI Act:** High-risk AI (tenant scoring, credit) requires transparency and human oversight.
- **GDPR & DORA:** Strong data privacy and cybersecurity standards.
- **Portugal is a leader in AI governance.**

Strategic Recommendations

- Focus on **predictive sourcing** (find deals before competitors).
- Use **digital site capture** for construction monitoring.
- Upgrade DD to **Simplex standard** (post-reform checks).
- Integrate **energy efficiency** into valuations.
- Clean and structure data for AI models.

New Investment Trends – Living Strategies

- Shift from buy-to-sell to **“living” assets** for stable returns.

- **Student Housing:** High demand → key growth area.
 - **Senior Living:** Institutional interest due to demographics.
 - **Build-to-Rent (BTR):** >50% of investors focus on young professionals & retirees in 2026.
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ESG & EPC (Energy Efficiency)

- EPC A/A+ → higher rent, lower operating costs.
 - Regulations: All large non-residential units must meet **Label E** by 2030.
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Talent & Labor

- ~100,000 construction worker shortage in 2026.
 - Modular & prefabricated construction are growing.
 - High demand for **digital skills** (BIM specialists, planners).
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Capital Access & Alternative Financing

- Traditional bank lending tightened for smaller developers.
 - Alternatives: Debt funds, crowdfunding, AIFs.
 - Platforms: **Goparity** (sustainability), **Raize** (SME), **Querido Investi** (real estate crowdfunding).
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Privacy & AI Compliance

- EU AI Act → high-risk AI must have human oversight.
 - Tenant scoring must be fair and objective.
 - Cybersecurity standards (DORA) required for all real estate fintech tools.
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Bottom Line:

Portugal's PropTech market is **growing and professionalizing**. Success requires **AI platforms (Casafari, Alfredo, OpenSpace)**, **human expertise (agents, lawyers, surveyors)**, and structured processes for **valuation, due diligence, financing, and**

investment strategy. Grok Convo can further **enhance workflow, predictive sourcing, and data-driven decision-making.**